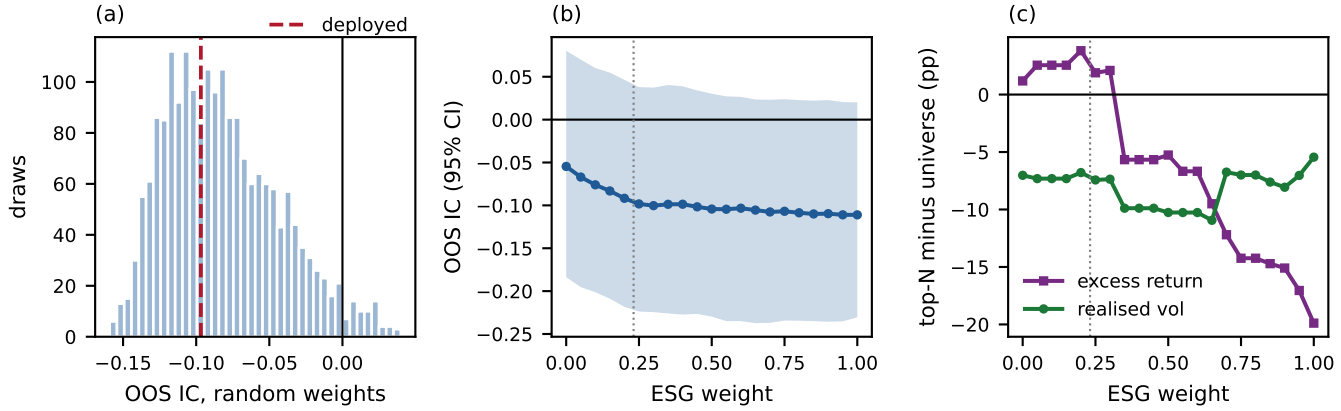
(a)
deployed
draws
100
80
60
40
20
0
−0.15
−0.10
−0.05
0.00
OOS IC, random weights
(b)
OOS IC (95% CI)
0.05
0.00
−0.05
−0.10
−0.15
−0.20
−0.25
0.00
0.25
0.50
0.75
1.00
ESG weight
(c)
top-N minus universe (pp)
0
−5
−10
−15
−20
excess return
realised vol
0.00
0.25
0.50
0.75
1.00
ESG weight